

COMPLIANCE AUDIT

Lower Allen Township Non-Uniformed Pension Plan Cumberland County, Pennsylvania For the Period January 1, 2019 to December 31, 2023

April 2025



Commonwealth of Pennsylvania
Department of the Auditor General

Timothy L. DeFoor • Auditor General



**Commonwealth of Pennsylvania
Department of the Auditor General
Harrisburg, PA 17120-0018
Facebook: Pennsylvania Auditor General
Twitter: @PAAuditorGen
www.PaAuditor.gov**

**TIMOTHY L. DEFOOR
AUDITOR GENERAL**

Board of Township Commissioners
Lower Allen Township
Cumberland County
Camp Hill, PA 17011

We have conducted a compliance audit of the Lower Allen Township Non-Uniformed Pension Plan for the period January 1, 2019 to December 31, 2023. We also evaluated compliance with some requirements subsequent to that period when possible. The audit was conducted pursuant to authority derived from the Municipal Pension Plan Funding Standard and Recovery Act (Act 205 of 1984, as amended, 53 P.S. § 895.402(j)), which requires the Auditor General, as deemed necessary, to audit every municipality which receives general municipal pension system state aid and every municipal pension plan and fund in which general municipal pension system state aid is deposited. The audit was not conducted, nor was it required to be, in accordance with Government Auditing Standards issued by the Comptroller General of the United States. We planned and performed the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our finding and conclusions based on our audit objective. We believe that the evidence obtained provides a reasonable basis for our finding and conclusions based on our audit objective.

The objective of the audit was to determine if the pension plan was administered in compliance with applicable state laws, regulations, contracts, administrative procedures, and local ordinances and policies.

Our audit was limited to the areas related to the objective identified above. To determine whether the pension plan was administered in compliance with applicable state laws, regulations, contracts, administrative procedures, and local ordinances and policies, our methodology included the following:

- We determined whether state aid was properly determined and deposited in accordance with Act 205 requirements by verifying the annual deposit date of state aid and determining whether deposits were made within 30 days of receipt for all years within the period under audit.

- We determined whether annual employer contributions were calculated and deposited in accordance with the plan's governing document and applicable laws and regulations by examining the municipality's calculation of the plan's annual financial requirements and minimum municipal obligation (MMO) and comparing these calculated amounts to amounts actually budgeted and deposited into the pension plan as evidenced by supporting documentation.
- We determined that there were no employee contributions required by the plan's governing document and applicable laws and regulations for the years covered by our audit period.
- We determined whether retirement benefits calculated for plan members who retired or elected to vest during the current audit period, and through the completion of our fieldwork procedures, represent payments to all (and only) those entitled to receive them and were properly determined and disbursed in accordance with the plan's governing document, applicable laws, and regulations by recalculating the amount of the pension benefits due to the retired individuals and comparing these amounts to supporting documentation evidencing amounts determined and actually paid or payable to the recipients.
- We determined whether the January 1, 2019, January 1, 2021, and January 1, 2023 actuarial valuation reports were prepared and submitted by March 31, 2020, 2022, and 2024, respectively, in accordance with Act 205 and whether selected information provided on these reports is accurate, complete, and in accordance with plan provisions to ensure compliance for participation in the state aid program by comparing selected information to supporting source documentation.
- We determined whether transfers were properly authorized, timely, and appropriately recorded by plan officials by examining supporting documentation for all of the transfers made during the audit period and through the completion of our fieldwork procedures.
- We determined whether the terms and methodologies of the issuance of pension obligation bonds by the municipality, and any restrictions, were in compliance with plan provisions and Act 205 through inquiry of plan officials and examination of supporting documentation.

Lower Allen Township contracted with an independent certified public accounting firm for annual audits of its basic financial statements for the years ended December 31, 2019, 2020, and 2021, which are available at the township's offices. Those financial statements were not audited by us and, accordingly, we express no opinion or other form of assurance on them.

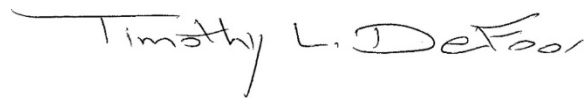
Township officials are responsible for establishing and maintaining effective internal controls to provide reasonable assurance that the Lower Allen Township Non-Uniformed Pension Plan is administered in compliance with applicable state laws, regulations, contracts, administrative procedures, and local ordinances and policies. As previously described, we tested transactions, interviewed selected officials, and performed procedures to the extent necessary to provide reasonable assurance of detecting instances of noncompliance with legal and regulatory requirements or noncompliance with provisions of contracts, administrative procedures, and local ordinances and policies that are significant within the context of the audit objective.

The results of our procedures indicated that, in all significant respects, the Lower Allen Township Non-Uniformed Pension Plan was administered in compliance with applicable state laws, regulations, contracts, administrative procedures, and local ordinances and policies, except as noted in the following finding further discussed later in this report:

Finding – Failure To Maintain And Monitor An Adequate Record-Keeping System

The accompanying supplementary information is presented for purposes of additional analysis. We did not audit the information or conclude on it and, accordingly, express no form of assurance on it.

The contents of this report were discussed with officials of Lower Allen Township and, where appropriate, their responses have been included in the report. We would like to thank township officials for the cooperation extended to us during the conduct of the audit.

A handwritten signature in dark ink, reading "Timothy L. DeFoor". The signature is written in a cursive, flowing style with a horizontal line extending to the left of the first name.

Timothy L. DeFoor
Auditor General
March 14, 2025

CONTENTS

	<u>Page</u>
Background	1
Finding and Recommendation:	
Finding – Failure To Maintain And Monitor An Adequate Record-Keeping System.....	2
Supplementary Information	4
Report Distribution List	8

BACKGROUND

On December 18, 1984, the Pennsylvania Legislature adopted the Municipal Pension Plan Funding Standard and Recovery Act (P.L. 1005, No. 205, as amended, 53 P.S. § 895.101 et seq.). The Act established mandatory actuarial reporting and funding requirements and a uniform basis for the distribution of state aid to Pennsylvania's public pension plans.

Annual state aid allocations are provided from a two percent foreign (out-of-state) casualty insurance premium tax, a portion of the foreign (out-of-state) fire insurance tax designated for paid firefighters and any investment income earned on the collection of these taxes. Generally, municipal pension plans established prior to December 18, 1984, are eligible for state aid. For municipal pension plans established after that date, the sponsoring municipality must fund the plan for three plan years before it becomes eligible for state aid. In accordance with Act 205, a municipality's annual state aid allocation cannot exceed its actual pension costs.

In addition to Act 205, the Lower Allen Township Non-Uniformed Pension Plan is also governed by implementing regulations published at Title 16, Part IV of the Pennsylvania Code and applicable provisions of various other state statutes.

The Lower Allen Township Non-Uniformed Pension Plan is a single-employer defined benefit pension plan locally controlled by the provisions of Ordinance 2015-01, as amended, and a separately executed agreement with the plan's custodian restated January 1, 2013. Effective October 1, 2018, the township adopted Ordinance 2018-11, which effectively froze the plan to new membership and established a defined contribution plan for non-uniformed employees hired on or after October 1, 2018 (*separately audited*). The plan was established January 1, 1967. Active members are not required to contribute to the plan. As of December 31, 2023, the defined benefit plan had 30 active members, 27 terminated members eligible for vested benefits in the future, and 28 retirees receiving pension benefits from the plan.

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
FINDING AND RECOMMENDATION

Finding – Failure To Maintain And Monitor An Adequate Record-Keeping System

Condition: Municipal officials did not timely and fully provide or maintain adequate pension plan records for examination during the course of the audit or indicate sufficient monitoring over them. The deficiencies are as follows:

- Documentation for proof of bond payments could not be provided for the audit period.
- Documentation to support the deposit of the township’s defined benefit pension plans’ 2024 minimum municipal obligations (MMOs) could not be provided.
- Documentation to support the deposit of 2024 state aid into an eligible pension plan could not be provided.

Subsequent to the completion of the audit, on March 13, 2025, the township provided the 2024 annual custodial transaction statements for its police and non-uniformed pension plans which revealed that neither the 2024 MMO nor the 2024 state aid was deposited into the plan by the respective deadlines (December 31, 2024 for the MMO and within 30 days of receipt for the state aid) required by Act 205. At this time, the township also provided the January 2025 custodial statements documenting the deposit of both the MMO and the state aid on January 7, 2025 into the police plan and January 14, 2025 into the non-uniformed plan.

Criteria: An adequate system of accounting and record keeping is a prerequisite for sound administration of pension plans. Furthermore, inadequate monitoring of the pension plan accounts could lead to undetected errors or improprieties in account transactions or deficiencies in authorizing and implementing pension plan policies and procedures.

Cause: On December 9, 2024, the municipal official appointed as the chief administrative officer (CAO) of the pension plans retired, creating a vacancy in personnel responsible for the administration of the plan. Accordingly, current plan officials were unable to produce adequate documentation to substantiate that the pension plan was administered in full compliance with applicable state laws, regulations, contracts, administrative procedures, and local ordinances and policies.

Effect: The failure of plan officials to maintain adequate records prohibits municipal officials from effectively monitoring the plan’s financial operations.

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
FINDING AND RECOMMENDATION

Finding – (Continued)

Recommendation: We recommend that plan officials establish accounting procedures, including record-keeping procedures, necessary to allow management to maintain effective awareness of and control over the activity of the plan. Plan officials should refer to the Auditor General’s Bulletin No. 2-88 entitled “Preparation, Maintenance and Auditability of Financial Records,” for further guidance in establishing adequate accounting procedures. We also recommend that plan officials examine all financial transactions of the pension plans to ensure the accuracy, timeliness, and propriety of the transactions. Lastly, because of the significance of the CAO’s responsibilities to the township and pension plans, we recommend that a CAO be formally appointed by ordinance, resolution, or motion recorded in the minutes of a council meeting. Such ordinance, resolution or motion should detail the CAO’s responsibilities and be filed with other pension plan documents.

Management’s Response: At our exit conference held on February 4, 2025, management indicated that they would provide a written response to this finding within 10 days; however, as of the date of this report, no such response has been provided.

Auditor’s Conclusion: Compliance will be evaluated during our next audit of the plan.

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
SUPPLEMENTARY INFORMATION
(UNAUDITED)

SCHEDULE OF FUNDING PROGRESS

Historical trend information about the plan is presented herewith as supplementary information. It is intended to help users assess the plan's funding status on a going-concern basis, assess progress made in accumulating assets to pay benefits when due, and make comparisons with other state and local government retirement systems.

The actuarial information is required by Act 205 biennially. The historical information, beginning as of January 1, 2019, is as follows:

	(1)	(2)	(3)	(4)
Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Entry Age (b)	Unfunded (Assets in Excess of) Actuarial Accrued Liability (b) - (a)	Funded Ratio (a)/(b)
01-01-19	\$ 6,330,550	\$ 6,847,505	\$ 516,955	92.5%
01-01-21	7,127,821	7,464,527	336,706	95.5%
01-01-23	8,359,722	8,203,227	(156,495)	101.9%

Note: The market values of the plan's assets at 01-01-19, and 01-01-21, and 01-01-23 have been adjusted to reflect the smoothing of gains and/or losses over a 5-year averaging period subject to a corridor between 80 to 120 percent of the market value of assets. This method will lower contributions in years of less than expected returns and increase contributions in years of greater than expected returns. The net effect over long periods of time is to have less variance in contribution levels from year to year.

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
SUPPLEMENTARY INFORMATION
(UNAUDITED)

The comparability of trend information is affected by changes in actuarial assumptions, benefit provisions, actuarial funding methods, accounting policies, and other changes. Those changes usually affect trends in contribution requirements and in ratios that use the actuarial accrued liability as a factor.

Analysis of the dollar amount of the actuarial value of assets, actuarial accrued liability, and unfunded (assets in excess of) actuarial accrued liability in isolation can be misleading. Expressing the actuarial value of assets as a percentage of the actuarial accrued liability (Column 4) provides one indication of the plan's funding status on a going-concern basis. Analysis of this percentage, over time, indicates whether the system is becoming financially stronger or weaker. Generally, the greater this percentage, the stronger the plan.

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
SUPPLEMENTARY INFORMATION
(UNAUDITED)

SCHEDULE OF CONTRIBUTIONS

<u>Year Ended December 31</u>	<u>Actuarially Determined Contribution</u>	<u>Actual Contributions</u>	<u>Contribution Deficiency (Excess)</u>	<u>Covered- Employee Payroll</u>	<u>Contributions as a Percentage of Covered- Employee Payroll</u>
2014	\$ 157,621	\$ 157,261	\$ 360	\$2,003,231	7.85%
2015	166,845	166,845	-	2,124,603	7.85%
2016	149,491	149,491	-	2,204,534	6.80%
2017	162,453	162,453	-	2,373,294	6.85%
2018	246,946	246,946	-	2,493,311	9.90%
2019	251,075	251,075	-	2,379,862	10.55%
2020	251,013	286,028	(35,015)	2,266,054	12.62%
2021	294,026	294,026	-	2,182,236	13.47%
2022	252,564	255,010	(2,446)	2,128,059	11.98%
2023	257,080	257,083	(3)	1,843,958	13.94%

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
SUPPLEMENTARY INFORMATION
NOTES TO SUPPLEMENTARY SCHEDULES
(UNAUDITED)

The information presented in the supplementary schedules was determined as part of the actuarial valuation at the date indicated. Additional information as of the latest actuarial valuation date follows:

Actuarial valuation date	January 1, 2023
Actuarial cost method	Entry age normal
Amortization method	Not applicable
Remaining amortization period	None
Asset valuation method	5-year smoothing, the actuarial value of assets will be limited to a maximum of 120% and a minimum of 80% of the market value of assets.
Actuarial assumptions:	
Investment rate of return	7.50%
Projected salary increases	4.75%
Cost-of-living adjustments	None assumed

LOWER ALLEN TOWNSHIP NON-UNIFORMED PENSION PLAN
REPORT DISTRIBUTION LIST

This report was initially distributed to the following:

The Honorable Joshua D. Shapiro
Governor
Commonwealth of Pennsylvania

Mr. Dean Villone
President, Board of Township Commissioners

Ms. Jennifer Caron
Vice-President, Board of Township Commissioners

Ms. Rebecca Davis
Township Manager

Ms. Alycia Knoll
Finance Director

This report is a matter of public record and is available online at www.PaAuditor.gov. Media questions about the report can be directed to the Pennsylvania Department of the Auditor General, Office of Communications, 229 Finance Building, Harrisburg, PA 17120; via email to: news@PaAuditor.gov.